

13.3 Sustainability Impacts

Our strategic commitment at LBF involves the continual analysis and enhancement of our sustainability impact, particularly in critical areas such as carbon emission reduction. Key actions driving this commitment include a systematic shift towards hybrid and electric vehicles to lessen our environmental footprint. Investment in solar-powered branches is another cornerstone, promoting renewable energy utilisation and minimising overall energy demand. Additionally, our adoption of a slipless transaction approach significantly reduces paper waste, advancing our eco-conscious, digital-first service delivery. (Refer pages 105 - 117)

14. SUSTAINABILITY IN MYANMAR OPERATIONS

Sustainability forms the core ethos of LB Microfinance Myanmar's operations, mirroring LBF's overarching dedication to fostering inclusive economic growth and social empowerment. Operating strategically across Bago, Magway, Ayeyarwady, and Yangon, our subsidiary is focused on uplifting underserved communities by providing vital, accessible financial services. With a workforce comprising 60% women and a customer base where more than 95% are female, the organisation champions gender equality, forging pathways to financial independence and entrepreneurial success for women in rural and semi-urban regions. Through tailored group microfinance and SME loans, LB Microfinance Myanmar not only catalyses income generation and robust business development but also significantly strengthens social capital within these communities. Its strategic goal to become one of the top three microfinance institutions in Myanmar within the next three years underscores a commitment to scaling sustainable impact, empowering individuals, and contributing meaningfully to the nation's socioeconomic advancement.

15. ROADMAP FOR SUSTAINABLE FINANCE ACTIVITIES IN SRI LANKA

In 2019, the Central Bank of Sri Lanka (CBSL) introduced the "Roadmap for Sustainable Finance in Sri Lanka," which was revised in 2022. This comprehensive framework provides financial institutions with clear guidelines for effectively

managing ESG risks associated with the projects they finance. It also encourages support for businesses that are environmentally sustainable, climate-friendly, and socially inclusive. In 2025, the CBSL issued the "Sustainable Roadmap 2.0," further advancing these objectives and setting clear timelines for the next phase of sustainable finance integration across the financial sector.

In alignment with these evolving frameworks, LBF is committed to embedding sustainability into our core business strategy and financial practices. To reinforce this commitment, we have developed a comprehensive ESG Policy, which has been formally approved by the Board. This policy serves as a foundational framework to ensure that ESG considerations and sustainable finance principles are systematically integrated into our decision-making and operational processes.

The policy outlines the roles and responsibilities of the Board and Senior Management in guiding LBF towards long-term sustainability. While the Board retains ultimate oversight of ESG and sustainable finance governance, Senior Management is responsible for executing the strategy and ensuring that it aligns with both national and global sustainability objectives. This integrated approach ensures that LBF continues to be a leader in driving sustainable growth and responsible business practices, in line with the timelines set out in the newly issued Sustainable Roadmap 2.0.